

External influences on business activity

Igcse Business Studies

External influences

Every business is affected by **external influences** 外部影响—things outside the business that it cannot control, such as the economy, the law and the environment. A good business watches these and plans for them.

Economic issues

The business cycle

The economy does not grow at a steady pace. It moves in a repeating pattern called the **business cycle** 经济周期, with these stages.

Stage	What happens	Effect on business
growth 增长	the economy is rising; people spend more	sales and profit rise; firms expand and hire
boom 繁荣	spending is very high	prices and wages rise; shortages appear
recession 衰退	spending falls; the economy shrinks	sales and profit fall; firms cut jobs
slump 萧条	a deep, long recession	many firms close; high unemployment 失业
recovery 复苏	spending starts to rise again	sales slowly improve

In hard times a business may cut costs, lower prices, or sell cheaper products.

Government economic aims and how they affect business

Governments try to keep the economy healthy. Their main aims are stable prices, plenty of jobs, steady growth, and a stable currency. To manage the economy, a government uses or watches several economic factors. Each one affects every business.

Economic factor	What it is	Effect on business
taxation 税收	money the government takes from incomes and sales	higher tax leaves people with less to spend, and cuts business profit
interest rates 利率	the cost of borrowing money	higher rates make loans dearer, so firms borrow and invest less, and customers spend less
inflation 通货膨胀	a general rise in prices	costs rise; if wages chase prices, the country's goods can become too dear
unemployment	the number of people without work	high unemployment lowers sales, but workers are easier to hire
exchange rates 汇率	the price of one currency in another	a change makes imports and exports cheaper or dearer (see below)

Environmental and ethical issues

External costs and external benefits

When a business acts, other people can gain or lose.

- **external costs** 外部成本 are costs paid by other people or by society, not by the business—for example **pollution** 污染, noise and heavy traffic.
- **external benefits** 外部收益 are gains for others—for example new jobs and better roads.

Sustainable development

Sustainable development 可持续发展 means meeting today's needs without harming the ability of future people to meet their own needs. A business can harm the **environment** 环境—through waste, pollution, and using up resources—or protect it, through recycling, clean energy and less packaging.

Pressure groups

A **pressure group** 压力团体 is a group that tries to influence businesses and governments, for example to cut pollution. Pressure groups use the media, protests and boycotts. A business may change its behaviour to avoid bad publicity.

Ethics and profit

Ethical behaviour 道德行为 means doing what is morally right, even when no law forces it—for example fair pay, safe products, and no child labour. Acting ethically can cost more in the short term, so it may **conflict** 冲突 with profit. But it can also win loyal customers and a good name, which raise profit in the long term.

Business and the international economy

Globalisation

Globalisation 全球化 is the growing trade and movement of goods, money and people between countries, so the world acts more and more like one single market. It has grown because of cheaper transport, better communication, the internet, and fewer trade barriers such as **tariffs** 关税 (taxes on imports).

Multinational companies

A **multinational company** 跨国公司 makes or sells its products in more than one country.

Benefits to a country	Drawbacks to a country
new jobs and training	profits may be sent out of the country
investment and new technology	local firms may be forced out of business
more choice and lower prices	resources may be used up, or the area polluted
more tax paid to the government	a large firm can have too much power

Exchange rates and trade

An exchange rate is the price of one currency in another. A change affects businesses that **import** 进口 (buy from abroad) and those that **export** 出口 (sell abroad).

- If the currency gets **stronger** (rises), exports become dearer for foreign buyers, so they sell less, while imports become cheaper.
- If the currency gets **weaker** (falls), exports become cheaper and sell more, while imports become dearer.

A useful memory aid is SPICED: **S**trong **P**ound → **I**mports **C**heaper, **E**xports **D**earer.